**IN THE HIGH COURT OF KARNATAKA AT BENGALURU**
**DATED THIS THE 6TH DAY OF APRIL, 2023**
**BEFORE**
**THE HON'BLE MR. JUSTICE T.G. RANGANATHA**

**ARBITRATION PETITION NO. 41 OF 2023**

**BETWEEN:**

M/S SIDDHI VINAYAKA AGRO PROCESSORS,
A PARTNERSHIP FIRM,
REPRESENTED BY ITS PARTNER
SRI MAHESH G. HEGDE,
SIRSI, UTTARA KANNADA - 581 401. **...PETITIONER**

(BY SRI SHRIVATSA K. JOSHI, ADVOCATE)

**AND:**

M/S BHARGAVI EDIBLE OILS PVT. LTD.,
A COMPANY INCORPORATED UNDER THE
COMPANIES ACT, 2013,
REPRESENTED BY ITS AUTHORISED
SIGNATORY,
HUBBALLI - 580 020. **...RESPONDENT**

(BY SRI ABHISHEK M. KADKOL, ADVOCATE)

THIS ARBITRATION PETITION IS FILED UNDER SECTION 11(6) OF THE ARBITRATION AND CONCILIATION ACT, 1996, PRAYING TO APPOINT A SOLE ARBITRATOR TO ADJUDICATE THE DISPUTES BETWEEN THE PARTIES UNDER THE SUPPLY AGREEMENT DATED 04.01.2019.

THIS PETITION, HAVING BEEN HEARD AND RESERVED FOR ORDERS ON 23.03.2023, COMING ON FOR PRONOUNCEMENT OF ORDERS THIS DAY, THE COURT MADE THE FOLLOWING:

**ORDER**

1. This petition is filed under Section 11(6) of the Arbitration and Conciliation Act, 1996 ("the Act") seeking appointment of a sole arbitrator to adjudicate the disputes arising out of the Supply Agreement dated 04.01.2019 between the petitioner and the respondent.

2. The petitioner supplied groundnut to the respondent under the Supply Agreement. Clause 14 provides that all disputes shall be referred to arbitration. The petitioner issued a notice dated 10.10.2022 invoking the arbitration clause and nominating an arbitrator; the respondent replied on 02.11.2022 refusing to concur. The petition was

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thereafter filed on 20.01.2023.

3. Sri Kadkol, learned counsel for the respondent, opposes the petition on the ground that the Supply Agreement is not signed by the respondent's authorised signatory and that no valid arbitration agreement exists. Sri Joshi, learned counsel for the petitioner, points to the respondent's purchase orders, the invoices which refer to the Supply Agreement and the respondent's own letter dated 15.06.2019 acting upon it.

4. The question is the scope of examination by the Court at the stage of Section 11(6) of the Act where the existence of the arbitration agreement is disputed.

5. The enquiry of the Court under Section 11(6) of the Arbitration and Conciliation Act, 1996 is confined to a prima facie determination of the existence of an arbitration agreement; detailed objections as to its validity, authority of the signatory and the like are for the arbitral tribunal to decide under Section 16 of the Act.

6. The documents placed on record, including the respondent's own letter dated 15.06.2019, prima facie demonstrate the existence of the agreement and its acceptance by conduct. Whether the signatory was duly authorised is a matter that can be examined by the arbitral tribunal.

7. In the result, I pass the following:

**ORDER**

(i) The arbitration petition is allowed.

(ii) A retired Judge of this Court, whose name shall be communicated by the Registrar (Judicial) after obtaining the disclosure under Section 12(1) of the Act, is appointed as the sole arbitrator.

(iii) All contentions of both parties are left open to be raised before the arbitral tribunal.

**Sd/-**
**JUDGE**

**TGR**

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